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As Indian companies are increasingly looking towards the vast market of Latin America as an attractive destination for investment and trade, a new mega-mart is to become the supreme launch-pad for commercial activities in the region. Ideally located at the crossroads of North and South America, and with the incentives, dimensions, and physical infrastructure of an entire city of business and trade, the Panama International Merchandise Mart is aiming to become the wholesale shopping centre of the world.

While Europe and the United States remain important markets, the commercial red-tape and costs of entering and operating in those regions remain a headache for many Asian companies. With a total population of over 530m and increasing demand for industrial and consumer goods arising from its continuous industrialisation and development, Latin America is therefore emerging as an attractive new market for Indian exporters. Against this backdrop, the Panama International Merchandise Mart (PIMM) aspires to boost trade between the hemispheres by bringing Asian vendors and Latin American buyers together under one roof in a strategic location close to the Panama Canal.

By making 6,800 showrooms available to foreign companies in a wholesale universe spanning 2m square metres of construction, PIMM is in many ways a pioneering project in Latin America. As founder and President Reynald Henry Katz explain, "PIMM is the largest merchandise mart in Latin America, and in fact, it is the first one. In Latin America and the Caribbean there are more consumers than in the US and Canada combined. The Latin American countries have the same culture, they are unified economically and as people. By bringing PIMM to Panama, I am providing access to this vast market. PIMM will be the largest city of commerce ever seen in the world!"

From the perspective of Latin American importers, meeting with overseas exporters in Panama rather than in Mumbai, Delhi or Hong Kong allows them to reduce their travel time and costs significantly while avoiding visa restrictions, jet lag, and cultural inconveniences in terms of language barriers and unfamiliar food. For the foreign companies who are interested in exploring the markets of the



34 showroom buildings form the core of Panama International Merchandise Mart

Caribbean and Latin America, PIMM's location by the Panama Canal and the Colon Free Trade Zone (CFZ) at the same time offers a wide range of strategic and financial advantages. Panama is an attractive place to do business given its stable economic growth, business-friendly legislation, and position as an international multimodal logistical hub. The Panama Canal is due to be enlarged in an historic \$5.2bn project, which is already stimulating the local business environment. What is more, Panama is home to the Colon Free Trade Zone, the second largest free zone in the world. Showroom owners at PIMM will also enjoy the benefits of friendly customs laws, no quotas on textile trade, and no taxes on profits.

Explains Katz, "The first thing is location, location, location. Panama is at the heart of Latin America, and it is a big hub, with access to every single city in Latin America. Second, a company doing business in Panama does not have to pay any taxes on profits. If a company from India decides to open a showroom, they will pay no taxes on what they sell. In fact, costs are generally low in Panama. To give you an idea, a showroom at PIMM costs \$125,000 - for life! You buy it, it's yours. In the US, the same showroom will cost \$150,000 - \$300,000 a year, and you will be renting it. From the Panama International Merchandise Mart, companies will be able to take orders and ship their goods directly from India, for example, thereby saving time, transportation, transshipment, etc."

The first 800 showrooms at PIMM were quickly pre-sold, generating \$140m of sales in only four months. So far the buyers are fairly evenly distributed between USA/Europe and India/China respectively. Katz believes that importers, not only from the United States and Europe also see PIMM as a welcome opportunity to meet with suppliers from India and China in one convenient location

PIMM a new trading era

Apartment building in the commercial city of Panama International Merchandise Mart